

16 Aug 2026 17:00:08 ET | 19 pages

Luxshare (002475.SZ/2475.HK)

Initiate Luxshare-H at Buy; A Proxy to Optics and Copper from 2027E

CITI'S TAKE

We initiate coverage on Luxshare-H (2475.HK) with a Buy rating and HK\$84.0 target price (based on P/E of 19.0x 2027E EPS) following the stock's HKEx listing on 9 July 2026. We also raise our Luxshare-A (002475.SZ, Buy) target price to Rmb86.0 (from Rmb77.0), based on target P/E of 22.3x set 1SD above five-year average P/E and rolled forward to 2027E basis, driven by improving visibility on optical transceivers and CPC opportunity in 2027. We raise our 2027E/28E net profits by 19%/35% driven by new growth drivers from optics/copper, partially offset by consumer electronics weakness. We adjust 2026E/27E/28E EPS by -4%/+13%/+28% to factor in our updated model and shares dilution post H-share listing. The latest fundraising provides more cash for overseas capacity expansion and R&D initiatives for new business drivers.

Optics and copper new drivers from 2027 — We forecast <1mn/7.6mn/14.8mn datacom optical transceiver module shipments in 2026E/27E/28E, contributing Rmb1.9/24.8/48.0bn revenue respectively. We also believe Luxshare could start to benefit from 224/448G CPC for high-density supernodes connectivity from late 2027. Net-net, we project communication revenue to grow at 38%/89%/51% YoY in 2026E/27E/28E.

Core business remains resilient — We forecast iPhone build to grow 8% YoY to 266mn in 2026E, suggesting a solid iOS business for first three quarters in 2026E. Apple is likely to maintain its market-share expansion strategy along with the tight memory supply cycle. New wearable/IoT devices may provide incremental content as well, e.g. camera TWS, AI glasses, etc. Non-Apple business also stays resilient despite market weakness; drivers are increasing laptop orders, AI edge devices, and smart home products. In auto, Leoni profitability is on track to improve continuously.

Estimates & valuation — We update our model and adjust 2026E/27E/28E EPS by -4%/+13%/+28% to factor in latest iOS assumptions, new optics and copper interconnects contribution, and shares dilution post H-share listing. We raise Luxshare-A target price by 12% to Rmb86.0, still based on updated upcycle P/E of 22.3x (1SD above 5-year average, and rolled forward to 2027E basis, driven by improving visibility on AI datacenter upgrade, supported by 33% three-year CAGR. Our H-share target price of HK\$84.0 is based on 19.0x 2027E P/E, a 15% discount to our A-share target P/E. The H-share has traded at a 15-20% discount to A-share since 9 July. Reiterate Buy on A-share and initiate H-share at Buy; on a relative basis, we currently prefer H-share to A-share based on valuation.

Catalysts and risks — We see near-term catalysts including 3Q26E NP guidance in August, likely new smartphone model launches in Sep (iPhone 18), production ramp for 800G/1.6T optical transceiver module in late 2026. Key risks include delay in optics/CPC ramp, lower-than-expected growth in global smartphones / tablets / automotive / XR and AI smart glasses, reverse of electronic device tariff exemptions, share loss at the key US iOS customer, and FX volatility due to macro uncertainties.

Kyna Wong^{AC}

+852-2868-7820

kyna.wong@citi.com

Karen Huang

+852-2501-2755

karen.xw.huang@citi.com

Kevin Chen

+852-2501-2125

kevin.y.chen@citi.com

Yiming Li, CFA

+852-2501-2857

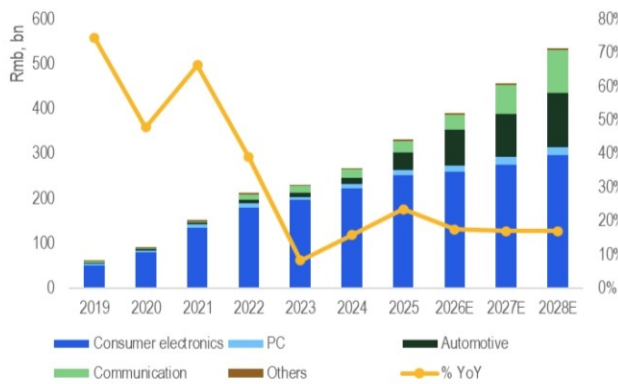
yiming.li@citi.com

See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations.

Data Summary

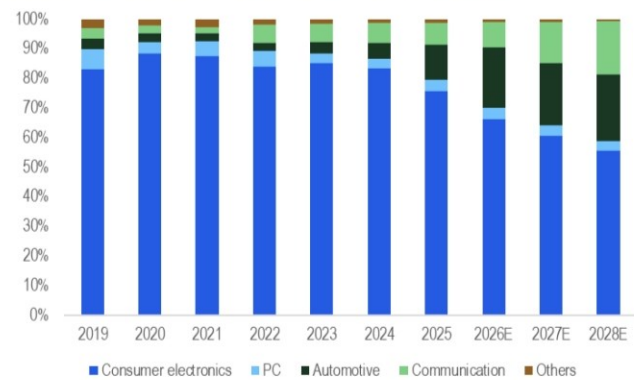
															Current Fiscal Year		Next Fiscal Year	
Company	Ticker	Ccy	Price	Mkt Cap (M)	Date & Time	Rating		Short-Term View	Target Price			Div Yld (%)	ETR (%)	Last Rpt Yr	EPS		EPS	
						Old	New		Old	New	ESPR (%)				Old	New	Old	New
Luxshare Precision Industry	002475.SZ	Rmb	56.580	415,399	14 Aug 15:00	1	nc	Upside	77.000	86.000	52.0	0.4	52.4	Dec-25	2.744	2.636	3.415	3.856
LUXSHARE - ICT	2475.HK	HK\$	60.40	23,919	14 Aug 16:10		1	Upside	-	84.00	39.1	0.4	39.5	Dec-25	-	2.636	-	3.856
1 = Buy, 2 = Neutral, 3 = Sell, H = High Risk						ESPR = Expected Share Price Return, ETR = Expected Total Return, nc = no change												
Source: Citi Research						^Catalyst Watch												

Figure 1. Luxshare – Revenue growth could achieve 17% CAGR in 2025-28E



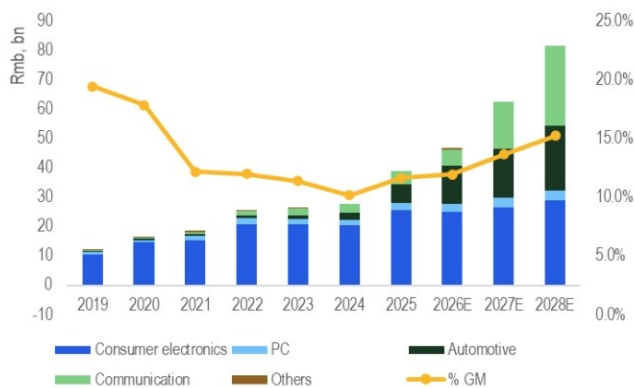
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Source: Citi Research estimates

Figure 2. Luxshare – Consumer electronics mix to reduce to 56%, auto+communications to 40% in 2028E



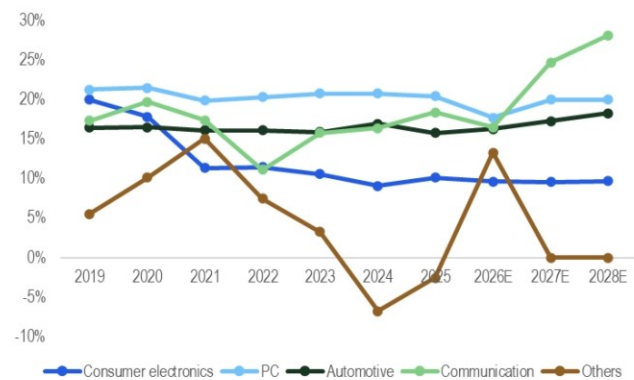
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Source: Citi Research estimates

Figure 3. Luxshare – GM gradually trending up on better mix



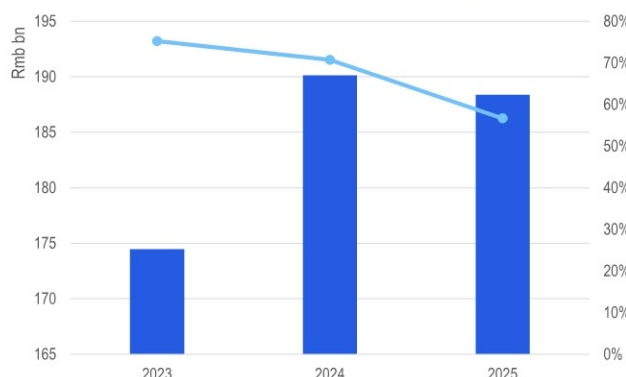
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Source: Citi Research estimates

Figure 4. Luxshare – We believe communications and auto GM could improve, while others stable



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Source: Citi Research estimates

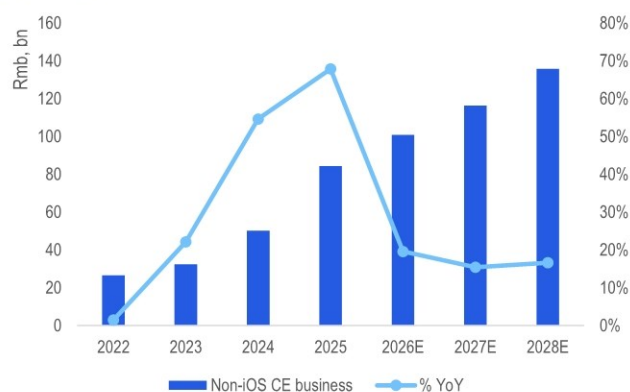
Figure 5. Luxshare – The key customer contribution is declining post Leoni and Wingtech ODM acquisition



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Source: Citi Research

Figure 6. Luxshare – Non-iOS consumer electronic business is growing



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Source: Citi Research estimates

Figure 7. Luxshare – iPhone production build (quarterly)

mn units	As of 12 Dec 2025						As of 4 May 2026							As of 22 Jun 2026			
	1Q25	2Q25	3Q25F	4Q25F	1Q26F	2Q26F	1Q25	2Q25	3Q25	4Q25	1Q26F	2Q26F	3Q26F	1Q26F	2Q26F	3Q26F	4Q26F
iPhone SE	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
iPhone 11	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
iPhone 12	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
iPhone 13	5	3	3	2	0	0	5	3	3	2	0	0	0	0	0	0	0
iPhone 14	2	2	1	1	0	0	2	2	1	1	0	0	0	0	0	0	0
iPhone 15	3	5	5	4	0	0	3	5	5	3	4	3	3	4	3	2	3
iPhone 16	41	38	24	12	9	5	41	38	24	12	7	5	5	7	5	5	4
iPhone 17	0	0	20	77	48	48	0	0	20	79	48	55	34	48	53	34	19
iPhone 18	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	24	57
Total	50	48	52	95	58	53	50	48	52	97	59	63	42	59	61	64	83
%YoY	8%	16%	7%	18%	15%	10%	8%	16%	7%	20%	17%	31%	28%	17%	26%	22%	-14%

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Source: Citi Research estimates

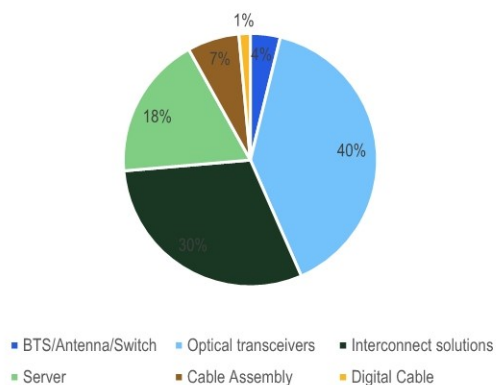
Figure 8. Luxshare – iPhone production build (annually)

mn units	2021	2022	2023	2024	2025	22 Jun'26
iPhone SE	22	16	10	7	-	-
iPhone 11	33	21	12	2	-	-
iPhone 12	92	15	3	2	-	-
iPhone 13	91	112	30	22	12	0
iPhone 14	-	78	93	18	6	0
iPhone 15	-	-	90	79	16	11
iPhone 16	-	-	-	87	114	20
iPhone 17	-	-	-	-	99	154
iPhone 17	-	-	-	-	-	81
Total Production	246	241	238	217	247	266
%YoY	8%	-2%	-1%	-9%	14%	8%

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Source: Citi Research estimates

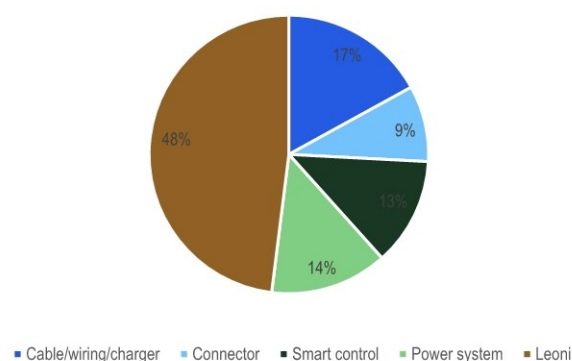
Figure 9. Luxshare – Optical transceivers forecast to account for 40% of 2027E communication business



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Source: Citi Research estimates

Figure 10. Luxshare – Leoni forecast to account for 48% of automotive business in 2027E



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Source: Citi Research estimates

Figure 11. Luxshare – Estimates Revisions

Rmb m	2026E			2027E			2028E		
	New	Old	Chg	New	Old	Chg	New	Old	Chg
Revenue	391,041	394,449	-1%	457,661	447,898	2%	535,592	513,692	4%
Gross profit	46,663	46,312	1%	62,317	54,865	14%	81,464	65,838	24%
OPEX	(27,811)	(27,088)	3%	(32,562)	(30,761)	6%	(38,101)	(35,283)	8%
Operating profit	18,852	19,224	-2%	29,755	24,104	23%	43,362	30,555	42%
Pre-tax profit	24,475	24,847	-1%	36,603	30,941	18%	50,691	37,828	34%
Net profit	20,218	19,988	1%	29,579	24,878	19%	40,956	30,416	35%
EPS (Rmb)	2.64	2.74	-4%	3.86	3.42	13%	5.34	4.18	28%
Ratio (%)									
Gross margin	11.9%	11.7%	0.2ppts	13.6%	12.2%	1.4ppts	15.2%	12.8%	2.4ppts
OPEX to Sales ratio	7.1%	6.9%	0.2ppts	7.1%	6.9%	0.2ppts	7.1%	6.9%	0.2ppts
Operating margin	4.8%	4.9%	-0.1ppts	6.5%	5.4%	1.1ppts	8.1%	5.9%	2.1ppts
Net margin	5.2%	5.1%	0.1ppts	6.5%	5.6%	0.9ppts	7.6%	5.9%	1.7ppts

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Source: Citi Research Estimates

Figure 12. Luxshare – We are 2%/10% higher than consensus earnings estimates

Rmb m	2026E			2027E			2028E		
	Citi	BBG	Diff	Citi	BBG	Diff	Citi	BBG	Diff
Revenue	391,041	414,344	-6%	457,661	488,927	-6%	535,592	581,150	-8%
Gross profit	46,663	49,978	-7%	62,317	62,270	0%	81,464	77,258	5%
OPEX	(27,811)	(27,705)	0%	(32,562)	(32,727)	-1%	(38,101)	(38,893)	-2%
Operating profit	18,852	22,273	-15%	29,755	29,543	1%	43,362	38,365	13%
Pre-tax profit	24,475	25,480	-4%	36,603	33,007	11%	50,691	42,239	20%
Net profit	20,218	21,642	-7%	29,579	28,127	5%	40,956	35,972	14%
EPS (Rmb)	2.64	2.92	-10%	3.86	3.78	2%	5.34	4.84	10%
Ratio (%)									
Gross margin	11.9%	12.1%	-0.1ppts	13.6%	12.7%	0.9ppts	15.2%	13.3%	1.9ppts
OPEX to Sales ratio	-7.1%	-6.7%	-0.4ppts	-7.1%	-6.7%	-0.4ppts	-7.1%	-6.7%	-0.4ppts
Operating margin	4.8%	5.4%	-0.6ppts	6.5%	6.0%	0.5ppts	8.1%	6.6%	1.5ppts
Net margin	5.2%	5.2%	-0.1ppts	6.5%	5.8%	0.7ppts	7.6%	6.2%	1.5ppts

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Source: Citi Research estimates, Bloomberg

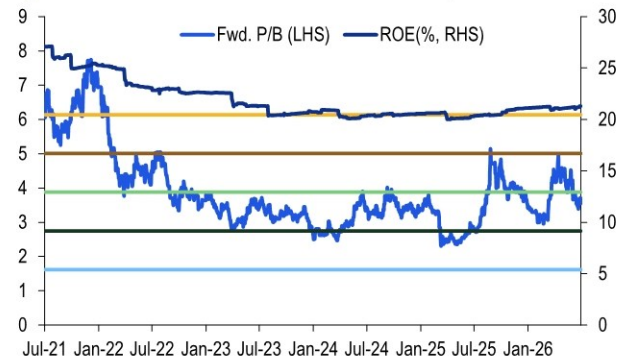
Figure 13. Luxshare – A-share Forward P/E



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Source: Citi Research, Bloomberg

Figure 14. Luxshare – A-share Forward P/B



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Source: Citi Research, Bloomberg

Adding Upside 90-Day Short-Term View on Luxshare Precision Industry (002475.SZ)

Direction: Upside
Duration: Within 90 Days
Category: Earnings and Thematic driven

We expect 2Q26 results and 3Q26 guidance to provide support to the share price. The improving visibility for 2H27 iPhone, AI edge devices, camera TWS would be further catalysts, on top of initial ramp of 800G/1.6T datacom optical transceivers from late-2026.

Adding Upside 90-Day Short-Term View on Luxshare Precision Industry Co Ltd (2475.HK)

Direction: Upside
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We expect 2Q26 results and 3Q26 guidance to provide support to the share price. The improving visibility for 2H27 iPhone, AI edge devices, camera TWS would be further catalysts, on top of initial ramp of 800G/1.6T datacom optical transceivers from late-2026.

Bull/Bear: Luxshare Precision Industry (002475.SZ)

Rmb **104.000**
▲ 84% Upside

Rmb **86.000**
▲ 52% Upside

Rmb **46.000**
▼ 19% Downside



Spread 103pp
Current Price and expected returns (upside/downside) as of 14 Aug 2026

BULL Assumptions

- Higher-than-expected growth given share and content gain
- 27x P/E

BASE Assumptions

- 22.3x 2027 P/E

BEAR Assumptions

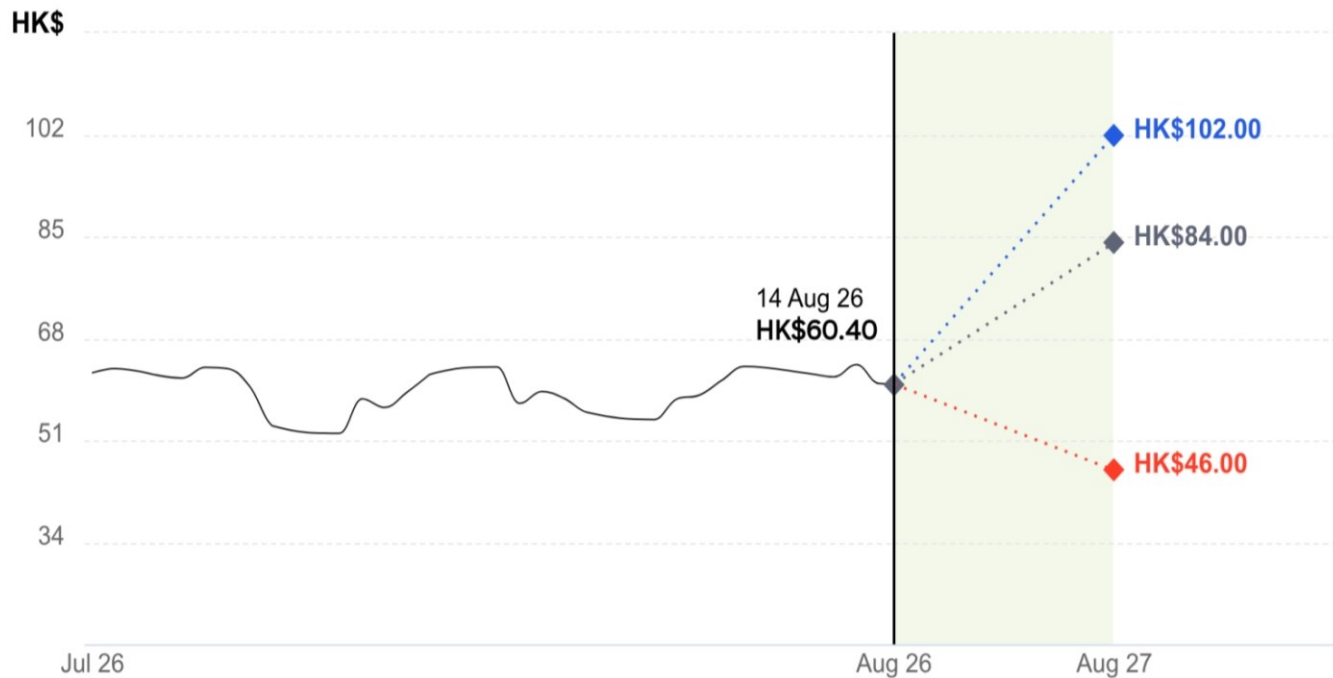
- Lower-than-expected growth given geopolitical tensions
- 15x P/E

Bull/Bear: Luxshare Precision Industry Co Ltd (2475.HK)

HK\$ **102.00**
▲ 69% Upside

HK\$ **84.00**
▲ 39% Upside

HK\$ **46.00**
▼ 24% Downside



Spread 93pp
Current Price and expected returns (upside/downside) as of 14 Aug 2026

BULL Assumptions

- Higher-than-expected growth driven geopolitical tensions
- 23x 2027 P/E

BASE Assumptions

- 19x 2027 P/E

BEAR Assumptions

- Lower-than-expected growth driven geopolitical tensions
- 13x 2027 P/E

Luxshare Precision Industry

Company description

Luxshare is a leading consumer electronics connector provider, with applications including PCs, smartphones, wearable devices, tablets, and game consoles. The company also has exposure in telecom and automotive connectors.

Investment strategy

We rate Luxshare A-shares as Buy. Our positive thesis is premised on: 1) the company gaining market share in smartphone components and assembly; 2) the company gaining market share in automotive connectors and communication component connectors; 3) management's strong execution record and strategic approach; and 4) investments in R&D and automated processes, which support production efficiency.

Valuation

Our Rmb86.0 target price for the A-shares is based on 22.3x 2027E P/E, set at 1std above historical five-year average, driven by improving visibility on optical transceivers and CPC opportunity in 2027, and supported by 33% EPS 2025-2028E CAGR.

Risks

Downside risks that could impede the shares from reaching our target price include: 1) softer-than-expected consumer electronics demand; 2) slower-than-expected order wins in communications and automotives; and 3) slower-than-expected integration of acquired businesses.

Luxshare Precision Industry Co Ltd

Company description

Luxshare is a leading consumer electronics connector provider, with applications including PCs, smartphones, wearable devices, tablets, and game consoles. The company also has exposure in telecom and automotive connectors.

Investment strategy

We rate Luxshare H-shares as Buy. Our positive thesis is premised on: 1) the company gaining market share in smartphone components and assembly; 2) the company gaining market share in automotive connectors and communication component connectors; 3) management's strong execution record and strategic approach; and 4) investments in R&D and automated processes, which support production efficiency

Valuation

Our HK\$84.0 target price for Luxshare H-shares is based on 19.0x 2027E P/E, a ~15% discount to our A-share target P/E, given the H-share has traded at a 15-20% discount since listing.

Risks

Generally, recently listed companies are assigned a "High Risk" rating by our Quant risk model owing to their limited trading history. In that context, Luxshare is rated High Risk as per our Quant risk model. However, we believe Luxshare's robust results delivery track, long operating history, and stable management team, along with the prior A-share trading history, suggest a High Risk flag is not appropriate.

Downside risks that could impede the shares from reaching our target price include: 1) softer-than-expected consumer electronics demand; 2) slower-than-expected order wins in communications and automotives; and 3) slower-than-expected integration of acquired businesses.

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Appendix A-1

ANALYST CERTIFICATION

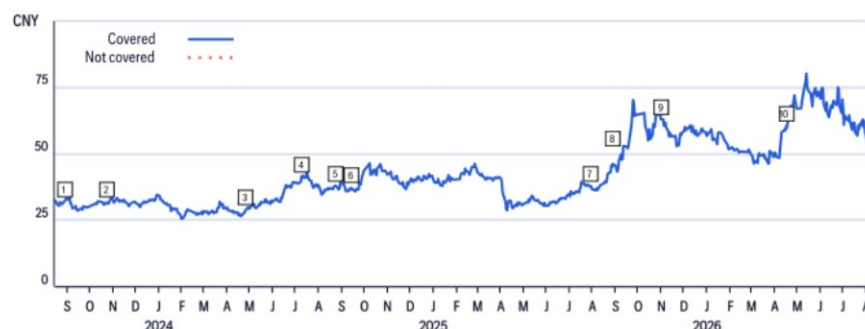
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IMPORTANT DISCLOSURES

Luxshare Precision Industry (002475.SZ)

Ratings and Target Price History
Fundamental Research

Analyst: Kyna Wong



	Date	Rating	Target Price	Closing Price
1	28-Aug-23 13:05:20	1	*42.00	32.06
2	23-Oct-23 00:08:29	1	*44.00	31.62
3	28-Apr-24 19:48:24	1	*42.00	28.79
4	09-Jul-24 07:36:11	1	*48.10	41.39

	Date	Rating	Target Price	Closing Price
5	25-Aug-24 18:42:29	1	*46.80	37.89
6	16-Sep-24 02:53:12	*--	-	37.15
7	30-Jul-25 15:53:48	*1	*48.00	37.74
8	27-Aug-25 11:53:33	1	*55.00	44.98

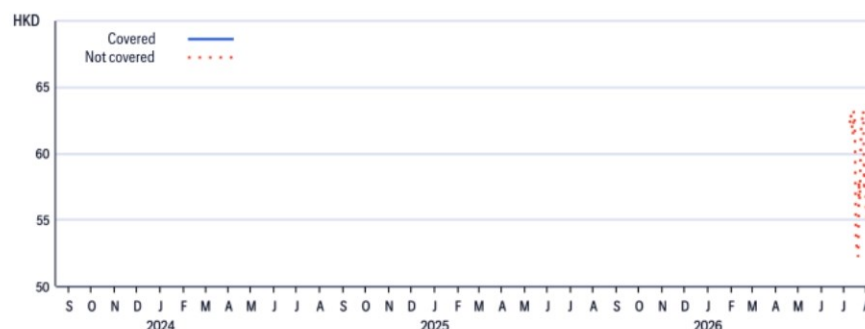
	Date	Rating	Target Price	Closing Price
9	02-Nov-25 20:52:44	1	*78.00	63.00
10	16-Apr-26 12:13:41	1	*77.00	60.45

*Indicates Change

Rating/target price changes above reflect Eastern Time

Luxshare Precision Industry Co Ltd (2475.HK)

Ratings and Target Price History
Fundamental Research



*Indicates Change

Rating/target price changes above reflect Eastern Time

The Firm has made a market in the publicly traded equity securities of Luxshare Precision Industry Co Ltd on at least one occasion since 1 Jan 2025.

Citigroup Global Markets Inc. or its affiliates received compensation for products and services other than investment banking services from Luxshare Precision Industry in the past 12 months.

Citigroup Global Markets Inc. or its affiliates currently has, or had within the past 12 months, the following as clients, and the services provided were non-investment-banking, securities-related: Luxshare Precision Industry.

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The Firm is a market maker in the publicly traded equity securities of Luxshare Precision Industry.

Unless stated otherwise neither the Research Analyst nor any member of their team has viewed the material operations of the Companies for which an investment view has been provided within the past 12 months.

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Citi Research Equity Ratings Distribution

Data current as of 01 Jul 2026	12 Month Rating			Catalyst Watch		
	Buy	Hold	Sell	Buy	Hold	Sell
Citi Research Global Fundamental Coverage (Neutral=Hold)	61%	32%	7%	36%	48%	16%
% of companies in each rating category that are investment banking clients	38%	42%	27%	42%	37%	36%

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Citi Research stock recommendations include an investment rating and an optional risk rating to highlight high risk stocks.

Risk rating takes into account both price volatility and fundamental criteria. Stocks will either have no risk rating or a High risk rating assigned.

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